

CHAPTER 14.

An Act to amend the National Health Insurance Act, 1924, and other enactments relating to health insurance. [2nd July 1928.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

1.—(1) In section three of the National Health Insurance Act, 1924 (hereinafter referred to as the principal Act), for subsection (1) thereof, down to the words "as if he were an employed contributor insured under this Act" there shall be substituted the following provision :

"Where an insured person being an employed contributor and a member of an approved society ceases to be employed within the meaning of this Act, he shall until the thirtieth day of June, or the thirty-first day of December, whichever next precedes the expiration of a period of two years from the end of the contribution week in which he ceases to be so employed, be treated for all purposes as if he were an employed contributor insured under this Act; but if on ceasing to be so employed he is rendered incapable of work by some specific disease or by bodily or mental disablement of which notice is given within the prescribed time, the said period of two years shall be reckoned from the end of the contribution week in which he ceases to be so incapable of work."

Amend-
ments of
ss. 3, 7 & 15
of principal
Act as to
continuous
insurance,
contribu-
tions by
voluntary
contribu-
tors and
arrears.
14 & 15
Geo. 5. c. 24.

(2) For subsection (2) of the same section, the following subsection shall be substituted :

"(2) A voluntary contributor being a member of an approved society shall on ceasing to pay contributions continue to be treated as if he were a voluntary contributor insured

under this Act until the thirtieth day of June, or the thirty-first day of December, whichever next precedes the expiration of a period of two years from the end of the contribution week in respect of which the last contribution paid by him as a voluntary contributor was paid :

Provided that where immediately after the contribution week in respect of which the last contribution paid by him as a voluntary contributor was paid he is rendered incapable of work by some specific disease or by bodily or mental disablement of which notice is given within the prescribed time, the said period of two years shall be reckoned from the end of the contribution week in which he ceases to be so incapable of work."

(3) For subsections (3) and (4) of the same section the following subsections shall be substituted :

"(3) An insured person—

(a) who has been insured as an employed contributor for the prescribed period, and by or in respect of whom the prescribed number of contributions have been paid; and

(b) who proves within the prescribed time that throughout the period during which he has remained insured by virtue of the foregoing provisions of this section (except when incapable of work by reason of some specific disease or bodily or mental disablement of which notice is given within the prescribed time) he was available for but unable to obtain employment within the meaning of this Act;

shall continue to be treated as an employed contributor insured under this Act until the expiration of a year from the date on which he would otherwise cease to be insured, subject to this modification, that he shall, during such extended period, be subject to such a reduction in the rate of sickness benefit and disablement benefit as may

be prescribed; so, however, that such reduction shall not exceed one-half of the benefit.

“(4) If any person, while remaining insured by virtue of the last foregoing subsection, again becomes employed within the meaning of this Act, or becomes a voluntary contributor, he shall, for the purposes of sickness disablement and maternity benefits, be treated as if he had not previously been insured until he has been so employed for twenty-six weeks and twenty-six contributions have been paid in respect of him since he again became so employed, or until he has paid twenty-six contributions since becoming a voluntary contributor, as the case may be :

Provided that no person shall by reason of becoming so employed or becoming a voluntary contributor be deprived of any benefit to which he would otherwise have been entitled.

“(5) Where an insured person to whom subsection (3) of this section applies was at the date when he ceased to be employed within the meaning of this Act of the age of sixty or upwards, and had then been continuously insured for ten years or upwards, then—

(a) if on ceasing to be insured under the said subsection (3), he proves that throughout the period during which his insurance was extended by that subsection he was, except when incapable of work, available for but unable to obtain employment within the meaning of this Act, he shall continue to be treated as an insured person until the expiration of a year from the date on which he would otherwise cease to be insured; and

(b) thereafter, if at the end of each succeeding year he furnishes similar proof with respect to the immediately preceding year, he shall continue to be treated as an insured person for a further year:

Provided that a person who remains insured by virtue only of this subsection shall not be

entitled to sickness benefit or disablement benefit, and if he again becomes employed within the meaning of this Act, he shall, for the purpose of determining his title to sickness benefit and disablement benefit, be treated as if he had not previously been an insured person.

“(6) If at the date on which a person would under any of the foregoing provisions of this section cease to be insured he is, or was within the period of four weeks preceding that date, incapable of work by reason of some specific disease or bodily or mental disablement of which notice is or has been given within the prescribed time, he shall remain insured in accordance with the provisions of this section applicable to him at the time he became incapable of work until he has for a continuous period of four weeks not been so incapable of work.

“(7) A person who on attaining the age of sixty-five is insured under this Act shall thereafter continue to be an insured person throughout his life, notwithstanding anything contained in this section, and a person who on attaining the age of sixty-five is not insured under this Act shall not be capable of becoming insured.

“(8) Where any person has ceased to be an insured person he shall, if subsequently he becomes employed within the meaning of this Act, or becomes a voluntary contributor, be treated as if he had not previously been an insured person.”

(4) At the end of section seven of the principal Act, the following new subsection shall be inserted :—

“(5) Where at the end of any contribution year the number of contributions, calculated in the prescribed manner, paid, or deemed in accordance with regulations under this Act to have been paid, for that contribution year by a person insured as a voluntary contributor is less than forty-five, then, unless within the prescribed period he pays such further contributions in respect of that year as will bring the total number of contributions for the year up to forty-five,

he shall cease to be entitled to pay contributions as a voluntary contributor :

Provided that where a person had, on attaining the age of sixty in the case of a man, or fifty-five in the case of a woman, been continuously insured for a period of ten years, or since the fifteenth day of July, nineteen hundred and twelve, whichever period is the shorter, this subsection shall in respect of that person apply as if for the references to forty-five contributions there were substituted references to twenty-six contributions.

For the purposes of this subsection "contribution year" means such period corresponding as nearly as may be to twelve months as may be prescribed and terminating on or after the thirtieth day of June, nineteen hundred and twenty-nine.

(5) At the end of section fifteen of the principal Act (which relates to arrears) the following new subsection shall be inserted :—

"(4) Regulations under this section may provide that, subject to such conditions as may be prescribed, an insured person shall not be subject to reduction or suspension of benefits by reason of arrears of contributions for any period in respect of which he proves that he was available for but unable to obtain employment within the meaning of this Act."

2. Section seventeen of the principal Act (which makes provision in the case of contributors who are inmates of hospitals, &c.) shall be amended as follows :—

Amendment
of s. 17 of
principal
Act as to
inmates of
hospitals,
&c.

(1) For paragraph (a) of subsection (2) the following paragraph shall be substituted :—

"(a) if that person has any dependants, shall, after consultation wherever possible with that person, be paid or applied, in whole or in part at the discretion of the society or committee administering the benefit, to or for the advantage of those dependants, or such of them, and in such

proportions, as the society or committee may determine; and ”

(2) In subsection (3), for the words from “ and either in a lump sum ” to the end of the subsection there shall be substituted the words “ in the following manner—

“ (a) in the case of sickness or disablement benefit, it shall be paid in weekly instalments, each instalment being of an amount not less than ten shillings nor more than two pounds as the society or committee administering the benefit may determine, unless the society or committee think proper, in view of the special circumstances of the case, to make a lump sum payment ;

(b) in the case of maternity benefit, it shall be paid in a lump sum :

Provided that—

(i) if that person dies in the institution, the sum so payable shall be deemed to form part of his estate, and if he dies after leaving the institution but before the whole of the instalments have been paid, the balance remaining unpaid shall be deemed to form part of his estate, and the amount so deemed to form part of his estate shall be paid in a lump sum and not in instalments ;

(ii) the amount so payable to any person, or deemed to form part of his estate, shall in no case exceed fifty pounds, and the balance shall, in accordance with regulations under this Act, be paid to the Central Fund.”

Amendment
of s. 24 of
principal
Act as to the
administra-
tion of
medical
benefit.

3. At the end of subsection (4) of section twenty-four of the principal Act (which relates to the administration of medical benefit), the following provision shall be inserted :—

“ Save as provided by regulations under this subsection, the insurance committee shall not, after such date as may be prescribed, be entitled to allow any person (other than a nurse or other employee of a hospital or similar institution) to

make his own arrangements for receiving medical treatment and attendance by way of participating in any collective arrangements made by or through any system or institution, and any such permission given before that date shall thereupon cease to have effect :

Provided that where before the sixth day of March, nineteen hundred and twenty-eight, any person has been allowed to make his own arrangements by means of any such collective arrangement as aforesaid, the system or institution by or through which such arrangements were made may, within such period as may be prescribed, apply to the insurance committee and the Minister for approval under this subsection, and shall be qualified to receive such approval notwithstanding that it was not in existence on the sixteenth day of December, nineteen hundred and eleven."

4. For section twenty-six of the principal Act the following section shall be substituted :—

"An approved society, not being a society in the case of which a disposable surplus was disclosed on the last preceding valuation, or an insurance committee, may from time to time, with the consent of the Minister, make subscriptions or donations of an eleemosynary character to hospitals, dispensaries, and other charitable institutions, or for the support of district nurses; and any sums so expended by an approved society shall be treated as expenditure on benefits."

Amendment
of s. 26 of
principal
Act as to
subscrip-
tions to
charitable
institutions.

5.—(1) In section twenty-seven of the principal Act (which relates to the repayment of benefits improperly paid) the following subsection shall be inserted after subsection (1) :—

"(1A) In any case where the Minister has not taken proceedings under the last foregoing subsection to recover from any person the amount so repayable by him, the society or committee concerned may, without prejudice to any other method of recovery, and notwithstanding anything in section twenty-one of this Act, recover the amount by deductions from any sickness or

Amendment
of s. 27 of
principal
Act as to
repayment
of benefits
improperly
paid.

disablement benefit payable to that person within four years from the date on which the improper payment was made to that person by the society or committee; so, however, that the amount deducted from any benefit shall not exceed one-fourth of the amount which but for such deduction would be payable."

(2) This section shall apply whether the improper payment was made before or after the commencement of this Act.

Amendment
of s. 30 of
principal
Act as to
societies
having
members
in more
than one
national
area.

6.—(1) The following paragraph shall be inserted at the end of subsection (2) of section thirty of the principal Act (which relates to societies having members in more than one national area):—

Where the Joint Committee are satisfied that the number of those members of any such society who are resident in a national area other than that in which the registered or head office of the society is situate is less than such proportion of the total number of the members of the society, and does not exceed such minimum number, as may be prescribed by regulations of the Joint Committee, the Committee may, if they think fit, and after consultation with the committee of management of the society, withdraw approval from the society in respect of that national area.

(2) The following proviso shall be added to subsection (4) of the same section :—

“Provided that where the members of any such society who are resident in a national area other than that in which the registered or head office of the society is situate satisfy the Joint Committee that they no longer desire to be treated for the purposes of the provisions of this Act relating to valuations, surpluses, deficiencies and transfers as if they formed a separate society, then, subject to the consent of the committee of management of the society, those members shall, as from such date as the Joint Committee may determine, cease to be so treated; so however that such cesser shall not

• affect any scheme relating to a surplus or deficiency which is in force at the date of such cesser.

In the exercise of their powers under this proviso the Joint Committee shall consult with the Minister, the Scottish Board of Health or the Ministry of Labour for Northern Ireland, as the case may require, and hold an inquiry, or, where in their opinion the wishes of the members cannot otherwise be properly ascertained, cause a poll to be taken in manner prescribed by regulations of the Committee."

7. At the end of section thirty-four of the principal Act the following subsection shall be inserted:—

"(4) Where the Minister is of opinion that the rules of an approved society do not properly provide for the administration of the affairs of the society under this Act, or that any of the rules is likely to prejudice unfairly any member of the society—

Amendment
of s. 34 of
principal
Act as to
rules of
approved
societies.

(a) the Minister may by notice require the committee of management of the society, within such time as may be specified in the notice, to submit for his approval a draft of amendments of the rules so as to make provision for the purposes set forth in the notice; and

(b) if the committee of management within the time so specified fail to submit such a draft or fail to submit a draft which the Minister is prepared to approve, the Minister may give further notice to the society requiring the rules to be amended in the manner specified in the notice; and

(c) if at a general meeting of the society held next after the expiration of a period of three months from the approval of such a draft, or, as the case may be, of a period of three months from the receipt of the further notice, the rules are not amended in accordance with the approved draft or the further notice, the Minister may make an order amending the rules in manner specified in the order, and thereupon the rules of

the society as so altered by the order shall be deemed to be the rules of the society approved by the Minister:

Provided that the Minister shall, if so required by the society, before making any such order, appoint an independent body constituted in accordance with regulations under this Act to investigate and report on the state of affairs under the existing rules of the society and on the amendments of the rules specified in the approved draft or the further notice, and the Minister in making the order shall have regard to the report of the investigating body.

Amendment
of s. 36 of
principal
Act as to
maladminis-
tration.

8. At the end of section thirty-six of the principal Act the following subsection shall be added:—

“(3) Regulations under this Act may provide for authorising the Minister, in any case in which he has reason to believe that the affairs under this Act of an approved society are not being properly administered in any respect, to cause an inquiry to be held into the administration of the affairs of the society, and if he is satisfied as a result of the inquiry that the administration should be improved, and the society fail after such period as he may determine to introduce such reforms into the administration as are necessary, to order the amount which may be carried to the administration account of the society out of contributions under this Act to be reduced by such sum as he may direct.”

Amendment
of s. 39 of
principal
Act as to
amalgama-
tions, &c.

9. At the end of section thirty-nine of the principal Act the following subsection shall be added:—

“(2) Regulations under this section may provide that where the committee of management of a society with branches desire to alter the constitution of the society so as to secure that for the purposes of the administration of the affairs of the society under this Act the society shall cease to be a society with branches, or the branches in different areas shall be grouped, and where not less than the prescribed proportion of the members of the society present

at a general meeting, or, in the case of a society whose affairs are managed by delegates elected by members, of those delegates so present, consent thereto—

(a) an amalgamation for the purposes of this Act of all the branches of the society or of all the branches of the society within any area; or

(b) a transfer to the society of the engagements under this Act of all the branches of the society, or a transfer to one branch of the society in any area of the engagements of all the other branches of the society within the same area;

may take effect notwithstanding that any one or more of the branches concerned may not consent.”

10. After subsection (5) of section forty-eight of the principal Act (which relates to the constitution of insurance committees) the following subsection shall be inserted :—

“(5a) Subject to such conditions and restrictions as may be prescribed, an insurance committee may, for the purpose of securing to any of its officers or servants on retirement superannuation allowances or other benefits, make contributions to any fund providing such benefits approved by the Minister, and any contributions so made shall be treated as part of the administration expenses of the committee.”

Amendment
of s. 48 of
principal
Act as to
insurance
committees
(staff super-
annuation).

11.—(1) Section fifty-four of the principal Act (which relates to deposit contributors) shall become a permanent enactment, and accordingly the words “until the thirty-first day of December nineteen hundred and twenty-five and ” in subsection (1) thereof shall be repealed.

Amendment
of s. 54 of
principal
Act as to
deposit con-
tributors.

(2) Paragraphs (e) and (f) of subsection (1) of the said section shall be repealed, and at the end of that section the following subsections shall be added :—

“(3) As respects deposit contributors who make application to the Minister in the prescribed manner and within the prescribed time, and prove that the state of their health is such that they

cannot obtain admission to an approved society, and in whose case the prescribed conditions are fulfilled, the foregoing provisions of this section shall not apply, and in lieu thereof the following provisions shall apply :

“(a) All such deposit contributors shall be formed into a separate section, to be called the Deposit Contributors Insurance Section :

“(b) Members of the said section shall, subject to the provisions of this Act, be entitled to benefits other than additional benefits :

“(c) Upon any deposit contributor becoming a member of the section the amount standing to his credit in the Deposit Contributors Fund shall be carried to the Reserve Suspense Fund, and there shall be charged to that fund and credited to the section a sum equal to his transfer value :

“(d) The cost of benefits and the expenses of the administration thereof, so far as not payable out of moneys provided by Parliament, shall be paid out of the sums standing to the credit of the said section, and there shall be carried to the credit of that section—

“(i) such transfer values as aforesaid ;

“(ii) the contributions paid by or in respect of the members of the section, subject to the retention thereof of the sums which would be retained by the Minister under section sixty-seven of this Act if the members of the section were members of an approved society ;

“(iii) upon any deposit contributor, not being a member of the section, dying or becoming permanently resident outside the United Kingdom, the

amount standing to his credit in the Deposit Contributors Fund, if and so far as not applied under the foregoing sections of this Act which make provision in the case of persons resident out of the United Kingdom;

“(iv) any interest credited to the Deposit Contributors Fund in the accounts of the fund for any period subsequent to the thirty-first day of December, nineteen hundred and twenty-seven :

“(e) Provision may be made by regulations as to the administration of benefits of members of the said section, and for applying to the said section and to the members of that section, subject to the prescribed modifications, adaptations, and exceptions, the provisions of this Act relating to approved societies and to members and membership of and transfers to and from approved societies, and for excepting from their application to members of the said section any of the provisions of this Act relating to deposit contributors :

“(f) If on a valuation of the section a deficiency is disclosed, the deficiency, so far as not made good out of the contingencies fund of the section, shall be made good out of the Central Fund; and if on any valuation of the section a surplus is disclosed, the surplus shall be transferred to the Central Fund; and subject as aforesaid the provisions of this Act as to the Contingencies Fund and the Central Fund shall apply as if the section were a society and the members thereof members of a society :

“(g) Regulations may provide for enabling the Minister, if the state of health of any member of the section is no longer such as to disqualify him for admission to an approved society, to terminate his membership of the section.

“(4) The interest credited to the Deposit Contributors Fund in the accounts of the fund up to and including the thirty-first day of December, nineteen hundred and twenty-seven, shall be transferred to the Reserve Suspense Fund.”

Amendment
of s. 56 of
principal
Act as to
married
women.

12.—(1) For sub-paragraphs (i) and (ii) of paragraph (a) of subsection (1) of section fifty-six of the principal Act (which relates to married women) the following paragraphs shall be substituted :

“(i) sickness benefit for an aggregate of not more than six weeks in the period of twelve months commencing next after the date of unemployment, or if the date of unemployment was anterior to the date of her marriage, within so much of that period as is subsequent to her marriage; and for the purposes of this paragraph the first disease or disablement in respect of which such sickness benefit is payable shall not be deemed to be a continuation of any previous disease or disablement ;

“(ii) A single maternity benefit irrespective of arrears in respect of her first confinement after the date of unemployment (or, if the date of unemployment was anterior to the date of her marriage, after the date of her marriage) and within two years from the date of her marriage.”

(2) For the proviso to subsection (2) of the same section the following proviso shall be substituted :

“Provided that in calculating the said period of eight weeks no account shall be taken of any period during which she was incapable of work by reason of some specific disease or bodily or mental disablement of which notice is given within the prescribed time, or of any period with respect to which she proves that she was available for but unable to obtain employment.”

Amendment
of ss. 62 and
64 of
principal
Act as to
mercantile
marine.

13.—(1) At the end of section sixty-two of the principal Act (which relates to the benefits and contributions of seamen) the following subsection shall be inserted :

“(7) Regulations shall be made providing that contributions payable in respect of masters and

seamen who are neither domiciled nor have a place of residence in the United Kingdom, and of masters and seamen serving in foreign-going ships who have such a domicile or place of residence, shall, subject to the retention thereof of the sums to be retained by the Minister under section sixty-seven of this Act as modified by the last foregoing subsection of this section, be paid into a separate account, and for the application of the sums carried to that account, so as to provide—

(a) for the application thereof in the first instance in satisfaction of claims thereto of approved societies and deposit contributors;

(b) for the payment of the expenses of the administration of the system;

(c) for making payments for the like purposes as the purposes for which payments may be made under subsection (2) of section sixty-eight of this Act as amended by any subsequent enactment, and of amounts corresponding to the amounts paid thereunder;

(d) for carrying the residue (subject to the foregoing sections of this Act which make provision for the case of persons resident outside the United Kingdom) to the seamen's special fund."

(2) For subsection (1) of section sixty-four of the principal Act the following subsection shall be substituted:

"(1) For the purposes of this Act, there shall be constituted a special fund to be called 'the seamen's special fund'."

(3) Masters and seamen, whether insured persons or not, shall be eligible for benefits under the scheme regulating the provision of benefits out of the seamen's special fund, and accordingly in subsection (4) of section sixty-four of the principal Act the words "being members of approved societies" shall be repealed.

(4) For subsection (5) of section sixty-four of the principal Act (which relates to the cost of benefits under

the said scheme) the following subsection shall be substituted :

“(5) The cost of any benefits under the said scheme and the expenses of administering those benefits shall be paid out of the seamen’s special fund and no part thereof shall be paid out of moneys provided by Parliament.”

Amendment
of s. 71 of
principal
Act as to
invest-
ments.

14. The following subsection shall be inserted after subsection (2) of section seventy-one of the principal Act (which relates to transactions between the Minister and approved societies) :—

“(2a) Regulations may be made under this Act enabling the Minister, in the case of approved societies which transact business other than business under this Act, or which are separate sections of other bodies, and under whose rules investments arising out of business under this Act are made in the names of the persons in whose names investments arising out of business other than business under this Act are made, to require that any investments of sums paid to the society for investment under this section shall, unless made in the names of the trustees of the society as trustees of the National Health Insurance funds of the society, be made in, or, in the case of an investment made before the date when regulations come into force, be transferred to, the joint names of the Minister and two or more of the trustees of the society or, if the society so requests, in or to the name of the Minister alone.”

Amendment
of s. 73 of
principal Act
as to audit of
administra-
tion accounts
of approved
societies.

15. In subsection (1) of section seventy-three of the principal Act (which provides for a separate account being kept of the administration expenses of approved societies and branches) after the words “that society or branch” there shall be inserted the words “and for “applying to the audit of expenditure out of that “separate account the provisions of the Fourth Schedule “to this Act subject to the necessary modifications.”

Amendment
of s. 75 of
principal
Act as to
disposal of
surpluses.

16.—(1) After subsection (1) of section seventy-five of the principal Act (which relates to the application of surpluses) the following subsections shall be inserted :—

“(1A) The duration of the scheme shall be such as may have been previously fixed by the

Minister, but may be extended by the Minister from time to time, and the valuer in determining the amount of the surplus which is disposable shall treat as disposable such part only of the surplus as in his opinion may reasonably, having regard to the circumstances and prospects of the society or branch, be expended within the period of the duration of the scheme as so fixed or extended.

“(1B) Any such scheme may provide for allocating out of the disposable surplus such maximum sum as may be prescribed for the purpose of making occasional subscriptions or donations of an eleemosynary character to hospitals, dispensaries or other charitable institutions, or for the support of district nurses, or for the purposes of medical research to institutions approved by the Minister; and where a scheme makes provision for such expenditure, sums may, subject to any conditions imposed by the scheme and until there is found to be a deficiency in the funds of the society or branch, be so expended, and shall be treated as expenditure on benefits.”

(2) For subsection (4) of the same section the following subsection shall be substituted :

“(4) A member of a society or branch shall not be entitled to an additional benefit unless such conditions relating to the period of membership of the society or branch as may be prescribed with respect to that benefit are complied with in his case.”

(3) At the end of the same section the following subsections shall be added and shall have effect as respects schemes whether sanctioned before or after the commencement of this Act :

“(7) Regulations may be made with respect to the administration of schemes under this section and of any additional benefit, and with respect to the arrangements for the provision of any service or appliances towards the cost of which payment may be made by way of additional benefit; and any scheme providing for any additional benefit shall, except so far as the Minister may otherwise direct, have effect as if the regulations relating

to the benefit were incorporated in the scheme, and the provisions of the scheme made subject thereto :

“ Provided that such regulations shall not restrict the right on the part of any insured person to obtain treatment from any practitioner, clinic, or other institution with whom arrangements with respect to that form of treatment have been made in accordance with the regulations.

“(8) When the Minister is satisfied that the number of members of a society or branch who are or may become entitled to any additional benefit under a scheme has since the scheme came into operation increased to such an extent that a further increase in the number of such members would be likely to affect prejudicially the financial position of the society or branch, the Minister may by order direct that the society or branch shall not without his consent accept as a member of the society or branch during the period of the operation of the scheme any person who is a member of another society or branch.”

(4) For the Third Schedule to the principal Act, containing the list of additional benefits, the First Schedule to this Act shall be substituted.

Amendment
of s. 94 of
principal
Act as to
special
orders.

17. At the end of section ninety-four of the principal Act (which contains rules as to the making of special orders) the following subsections shall be inserted :—

“(7) As soon as the Minister has published notice of the proposal to make a special order he may, if he certifies that it is expedient that the special order should come into operation forthwith, make the special order to come into operation forthwith as a provisional special order, but such provisional special order shall only continue in force until the special order made in accordance with the foregoing provisions of this section has come into force.

(8) Any provisional special order made in pursuance of the foregoing subsection shall be laid before both Houses of Parliament as soon as may be after it is made, and if within the subsequent

‘twenty-one days on which that House has sat next after any such provisional special order is laid before it either of those Houses presents an address to His Majesty against the order or any part thereof the order shall be annulled, but without prejudice to the validity of anything previously done thereunder.’”

18.—(1) If any person, for the purpose of avoiding any payment to be made by himself under the principal Act or of enabling any other person to avoid any such payment, knowingly makes any false statement or false representation, he shall be guilty of an offence under subsection (1) of section ninety-six of the principal Act, and accordingly in that subsection, after the words “for any other person” there shall be inserted the words “or if for the purpose of avoiding any payment to be made by himself under this Act or of enabling any other person to avoid any such payment.”

Amendment
of ss. 96
and 97 of
principal
Act as to
offences.

(2) At the end of subsection (2) of section ninety-six of the principal Act the following paragraph shall be added :—

“ If the employer, being a company, fails to pay to the Minister any sum which it has been ordered to pay under this subsection, that sum or such part thereof as remains unpaid shall be a debt due to the Minister jointly and severally from any directors of the company who knew, or could reasonably be expected to have known, of the failure or neglect to pay the contribution or contributions in question, and proceedings for the recovery of the said sum summarily as a civil debt may be commenced at any time within twelve months from the date of the order for payment made on the company.”

(3) If any person is convicted of an offence under subsection (3) of section ninety-six of the principal Act he may be sentenced to a term of imprisonment not exceeding three months, and accordingly in that subsection after the words “ twenty pounds ” there shall be inserted the words “ or to imprisonment for a term not “ exceeding three months with or without hard labour, or to both such fine and imprisonment.”

(4) In subsection (1) of section ninety-seven of the principal Act paragraph (a) shall be omitted, and in paragraph (b), for the words "within the time prescribed" by any such enactment as aforesaid there shall be substituted the words "within one year from the date of the commission of the alleged offence."

Amendment
of s. 106 of
principal
Act, &c. as
to preferen-
tial pay-
ments.

19. For the purpose of extending from four to twelve months the period contributions in respect of which are to be included as debts to which priority is given by the enactments relating to bankruptcy and the winding up of companies, the words "twelve months" shall be substituted for the words "four months" in the following enactments; that is to say :—

(a) Subsection (1) of section one hundred and six of the principal Act :

(b) Subsection (1) of section one hundred and twenty-four of the principal Act :

(c) Paragraph (e) of subsection (1) of section thirty-three of the Bankruptcy Act, 1914 :

(d) Paragraph (e) of subsection (1) of section one hundred and eighteen of the Bankruptcy (Scotland) Act, 1913.

4 & 5 Geo. 5.
c. 59.

3 & 4 Geo. 5.
c. 20.

Amend-
ment of
Schedule I.
to principal
Act as to em-
ployments
within the
meaning of
that Act.

20. The following paragraphs shall be added to Part I of the First Schedule to the principal Act (which specifies the employments within the meaning of the Act) :—

"(f) Employment in the United Kingdom by way of manual labour under a contract for the performance of such labour for the purposes of any trade or business, except in so far as such employment is excluded by a special order.

"The person for the purposes of whose trade or business the labour is performed shall, in relation to the person performing the labour, be deemed to be the employer of that person for the purposes of this Act.

"(g) Employment as master or a member of the crew of any fishing or other vessel registered in the United Kingdom, or of any other British vessel of which the owner, or if there is more than

one owner the managing owner or manager, resides or has his principal place of business in the United Kingdom, when the person so employed is remunerated by a share in the profits or gross earnings of the vessel, except in so far as such employment is excluded by special order.

“The owner of the vessel, or if there is more than one owner the managing owner or manager, shall for the purposes of this Act be deemed to be the employer; but a special order may—

(a) modify in the case of persons so employed, or any class of such persons specified in the order, the provisions of this Act restricting the right of deducting or otherwise recovering the employer's contribution;

(b) provide that as respects any persons so employed, or any class of such persons specified in the order, a person specified in the order shall, instead of the owner, managing owner, or manager, be deemed to be the employer.”

21. In paragraph (a) of section four of the National Health Insurance Act, 1926 (which provides for the application for certain purposes of sums which under section sixty-eight of the principal Act are to be carried to the Central Fund), for the words “for the purpose of preventing such members of the society as are in arrears from being or continuing to be suspended from benefit” there shall be substituted the words “for the purpose of preventing such members of the society as are in arrears from being or continuing to be subject to reduction or suspension of benefit.”

Amendment
of 16 & 17
Geo. 5. c. 9.
s. 4.

22.—(1) The amendments specified in the second column of the Second Schedule to this Act (which relate to minor or consequential details) shall be made in the sections of the principal Act specified in the first column of that Schedule.

Minor
amend-
ments of
principal
Act and
repeals.

(2) The enactments mentioned in the Third Schedule to this Act are hereby repealed to the extent specified in the third column of that Schedule.

Transitional
regulations.

11 & 12
Geo. 5. c. 66.

Application
to Northern
Ireland. ...

23. Regulations may be made under the principal Act providing in the case of any persons who are insured or entitled to medical benefit on the thirty-first day of December, nineteen hundred and twenty-eight, and whose position is affected by any of the provisions thereof for the transition from the provisions of the principal Act and the National Health Insurance (Prolongation of Insurance) Act, 1921, affecting them to the provisions of the principal Act as amended by the provisions of this Act.

24.—(1) This Act, so far as it relates to matters with respect to which the Parliament of Northern Ireland has power to make laws, shall not extend to Northern Ireland unless and until provision to that effect is made either—

(a) by Act of the Parliament of Northern Ireland;
or

(b) by an Order of the Governor of Northern Ireland in Council made in pursuance of such an Act.

(2) Upon this Act being so extended to Northern Ireland as aforesaid, it shall apply to Northern Ireland subject to the following modifications:—

(a) The amendments of sections ninety-six and ninety-seven of the principal Act shall not apply:

(b) The new paragraph (d) to be added to subsection (2) of section fifty-four of the principal Act shall have effect as if after the words “medical benefit” therein there were inserted the words “and sanatorium benefit.”

10 & 11
Geo. 5. c. 67.

(3) For the purposes of section six of the Government of Ireland Act, 1920, this Act shall be deemed to be an Act passed before the appointed day.

Short title,
construction
and com-
mencement.

25.—(1) This Act may be cited as the National Health Insurance Act, 1928, and the National Health Insurance Acts, 1924 and 1926, and this Act may be cited together as the National Health Insurance Acts, 1924 to 1928.

(2) This Act shall be construed as one with the principal Act.

(3) Section two, subsection (2) of section eleven and section twelve of this Act shall come into operation on the seventh day of January, nineteen hundred and twenty-nine, but save as aforesaid this Act shall come into operation on the first day of January, nineteen hundred and twenty-nine.

SCHEDULES.

FIRST SCHEDULE.

Section 16.

(To be substituted for Third Schedule to the principal Act.)

ADDITIONAL BENEFITS.

1. An increase of sickness benefit and disablement benefit.
2. The payment of sickness benefit from the first day of incapacity.
3. An increase of maternity benefit.
4. Allowances to a member during convalescence from some disease or disablement.
5. Payments to or on behalf of members who are in want or distress.
6. Payments to members not allowed to attend work on account of infection.
7. Repayment of the whole or any part of contributions payable under this Act by members of the society or any class thereof.
8. The payment of the whole or any part of the cost of medical or surgical advice or treatment by any registered medical practitioner, not being advice or treatment within the scope of any other additional benefit or of medical benefit, under a special scheme approved by the Minister for the purpose.
9. The payment of the whole or any part of the cost of the provision of dental treatment.
10. Payments to hospitals in respect of the maintenance and treatment therein of members, and the payment of the whole or any part of the travelling expenses incurred by or in respect of members in travelling to and from hospitals.

1st SCH.
—cont.

11. The payment of the whole or any part of the cost of maintenance and treatment of members in convalescent homes, and the payment of the whole or any part of the travelling expenses incurred by or in respect of members in travelling to and from convalescent homes.

12. The provision of premises suitable for convalescent homes and the maintenance of such homes.

13. The payment of the whole or any part of the cost of medical and surgical appliances, other than dental and optical appliances and those provided as part of medical benefit.

14. The payment of the whole or any part of the cost of the provision of ophthalmic treatment (other than as provided as part of medical benefit) and the whole or any part of the cost of optical appliances.

15. The payment of the whole or any part of the cost of the provision of nurses for members.

16. Payments to approved charitable institutions in respect of any treatment of members required for the prevention or cure of disease, not being treatment within the scope of any other additional benefit or of medical benefit.

17. Such other additional benefits, being of a character similar to that of any of those hereinbefore mentioned, as may be prescribed.

Section 22.

SECOND SCHEDULE.

MINOR AND CONSEQUENTIAL AMENDMENTS OF THE PRINCIPAL ACT.

National Health
Insurance Act,
1924.

Section 1 - At the end of subsection (3) the following words shall be inserted :

“Regulations may provide for determining the date as from which a person who has elected to become a voluntary contributor is to be treated for any purpose of this Act as a voluntary contributor.”

Section 3 In proviso (a) to subsection (1) for the words “until the expiration of twelve months from the date on which he ceased to be employed as aforesaid,” there shall be substituted the words “until the date on which he would but for this proviso have ceased to be insured.”

National Health
Insurance Act,
1924.

2ND SCH.
—cont.

- Section 9 - In subsection (2), after the words "any contribution paid" there shall be inserted the words "or, in the case of a master or seaman serving on a foreign-going ship, due to be paid."
- Section 10 - In subsection (2), after the words "sufficient medicines," there shall be inserted the words "including such chemical reagents as may be prescribed."
- Section 12 - In proviso (b) to subsection (5), for the words "one hundred and sixty pounds" there shall be substituted the words "two hundred and fifty pounds."
- Section 13 - In subsection (4) for the words "was not reasonably able to give" there shall be substituted the words "had a reasonable excuse for not giving," and for the words "inability to give" there shall be substituted the words "that he had a reasonable excuse for not giving."
- In subsection (5), after the word "shall," there shall be inserted the words "for the purpose of the provisions of this Act relating to sickness and disablement benefits."
- In subsection (6) for the words "for the purpose of determining the rate and duration of benefit" there shall be substituted the words "for the purpose of the last foregoing subsection."
- Subsection (9) shall be omitted.
- Section 14 - At the end of the section the following subsection shall be added :—
- "(8) Maternity benefit in respect of any confinement shall not be payable unless a claim for the benefit is made by or on behalf of the person entitled thereto within six months after the confinement, or, where the insured person is a man of the forces and the confinement takes place outside the United Kingdom, within twelve months after the confinement.
- "Provided that if the society or committee administering the benefit are

2ND SCH. National Health
—cont. Insurance Act,
1924.

Section 14—*cont.* satisfied, or if in the case of a dispute it is decided in manner provided by this Act, that in the circumstances of the case it was not reasonably possible for a claim for the benefit to have been made within the proper time, the benefit shall be payable."

Section 16 - In paragraph (a) of subsection (1) after the words "otherwise payable to that person" there shall be inserted the words "unless and except so far as such weekly or lump sum is irrecoverable"; and after the words "with the weekly sum or the weekly value of the lump sum" there shall be inserted the words "if and so far as such weekly or lump sum is recoverable"; and paragraph (c) of the same subsection shall be omitted.

At the end of subsection (5) the following paragraph shall be added:—

"For the purposes of this subsection a person against whom a claim for damages or compensation has been made shall be deemed to be a person liable to pay compensation or damages if he has agreed to pay a sum in composition of the claim, notwithstanding that he does not admit liability, and the sum payable under the agreement shall be deemed to be compensation or damages."

Section 17 - In paragraph (b) of subsection (2), for the words "may be applied at the discretion of the society or committee administering the benefit" there shall be substituted the words "may at the discretion of the society or committee administering the benefit be applied"; and the words "may at the discretion of the society or committee" shall be omitted.

Section 19 - In proviso (a) to subsection (1) after the words "maternity benefit" there shall be inserted the words "for a period of six months from the date on which he becomes so temporarily resident, or, if

National Health
Insurance Act,
1924.2ND SCH.
—cont.

Section 19—*cont* the society or committee by which the benefit is administered thinks fit to allow a longer period, for such longer period,” and for the words “the insured person” there shall be substituted the word “he.”

In proviso (c) to subsection (1) for the words “to continue to receive sickness or disablement benefit” there shall be substituted the words “to receive sickness or disablement benefit if the incapacity commenced prior to his becoming temporarily resident outside the United Kingdom.”

Section 22 - In subsection (3), after the words “maternity benefit” there shall be inserted the words “or any additional benefit.”

Section 30 - At the end of subsection (1) the following words shall be added—“or any person who is a man of the forces and who immediately prior to his entry or enlistment was not resident in any national area in respect of which the society is an approved society.”

Section 43 - At the end the following subsection shall be added :—

“(7) In the case of a member of an approved society or branch applying for an assisted passage under any scheme approved by the Minister after consultation with the Secretary of State concerned, such sum as may be prescribed in respect of the cost of any medical examination necessary for obtaining the passage, and of the issue of the appropriate certificate, may be paid out of the Reserve Suspense Fund.”

Section 54 - In subsection (1), for the words “has been expelled or has resigned therefrom,” there shall be substituted the words “has been expelled therefrom or has terminated his membership thereof in accordance with the provisions of this Act.”

At the end of subsection (2) the following paragraph shall be added :

“(d) authorising in the prescribed cases, and notwithstanding anything con-

2ND SCH. National Health
—cont. Insurance Act,
1924.

Section 54—*cont.* tained in this section, the charges for medical benefit and the administration of benefits for past periods, and the adjustment and apportionment of such charges, to be made on such basis as may be prescribed."

Section 56 - In subsection (3) after the words " becomes employed " when they first occur there shall be inserted the words " or after the death of her husband becomes a voluntary contributor," after the words " becomes employed " where they secondly occur there shall be inserted the words " or becomes a voluntary contributor " and after the words " becoming employed " there shall be inserted the words " or becoming a voluntary contributor."

Section 57 - In subsection (4) for the words " For the purposes of this section, ' marine ' includes every warrant officer of marines except Royal Marine gunners " there shall be substituted the words " For the purposes of this section the expressions ' seaman,' ' marine ' and ' airman ' do not include a native or a Maltese enrolled or recruited outside the British Islands."

Section 59 - In paragraph (e) of subsection (1), the words " at the ordinary rates " shall be omitted.

Section 60 - In proviso (i) to subsection (1), after the words " of this Act," there shall be inserted the words " or been engaged in some regular occupation."

In proviso (ii) to the same subsection, after the words " so employed " there shall be inserted the words " or engaged."

In the last paragraph of the same subsection after the words " deemed to have been employed " there shall be inserted the words " or engaged as aforesaid," and after the words " in respect of the employment " there shall be inserted the words " or regular occupation in which he was engaged."

National Health
Insurance Act,
1924.2ND SCH.
—cont.

- Section 62 - In the proviso to subsection (1), for the words "may, if the master or seaman has dependants, be paid in whole or part" there shall be substituted the words "shall, if the master or seaman has dependants, be paid, in whole or in part at the discretion of the society or committee by which the benefit is administered."
- Section 64 - For subsection (2) of section sixty-four of the principal Act the following subsection shall be substituted :—
 "(2) The seamen's special fund shall be vested in and administered by a body or bodies constituted in accordance with a scheme to be prepared by the joint committee, after consultation with the Board of Trade, and comprising persons representing shipowners and masters and seamen :
 "Provided that at least one half of the governing body shall be representative of all classes of persons entitled to benefits out of the fund."
- Section 78 - In subsection (3) the words "where an inquiry as to excessive sickness is pending under this Act" shall be omitted.
 In subsection (6), for the words "seventy years of age" there shall be substituted the words "sixty-five years of age."
- Section 81 - After the words "not being a society with branches" there shall be inserted the words "or a branch of an approved society"; and after the words "two branches" there shall be inserted the words "and to the branch as if the branch consisted of two branches."
- Section 97 - In subsection (2), after the words "shall be liable" there shall be inserted the words "under subsection (2) of section ninety-six of this Act."
- Section 132 - At the end of subsection (1), the following definition shall be inserted :—
 "'Committee of management' in relation to an approved society or branch

2ND SCH. National Health
—cont. Insurance Act,
1924.

Section 132—*cont.* includes the governing body of the society or branch by whatever name known."

" 'Charitable institution' means any charitable institution which the Minister is satisfied is ordinarily and to a substantial extent supported from sources other than public funds and payments out of funds of approved societies under this Act; and 'Approved charitable institution' means a charitable institution as so defined which is approved by the Minister for the purposes of this Act."

After subsection (1) the following new subsection shall be inserted :—

" (1a) For the purposes of this Act a person shall be deemed to be available for but unable to obtain employment within the meaning of this Act during any week in respect of which he proves that for the purposes of the Unemployment Insurance Acts, 1920 to 1927, he was, or would if he had been insured under those Acts have been, deemed to be unemployed."

Fourth Schedule In paragraph 1 of Part I, for the word "misconduct" there shall be substituted the words "wrongful act"; and in paragraph 2 thereof after the words "within thirty days after the date of the auditor's certificate," there shall be inserted the words "or within such further period as the Minister may (on special cause shown, and subject to such conditions as he may determine), allow."

In paragraph 1 of Part II, for the word "misconduct" there shall be substituted the words "wrongful act"; and at the end thereof the following proviso shall be inserted :—

" Provided that no such interim report shall be made with respect to any item of account sanctioned by the Board."

THIRD SCHEDULE.

Section 22. }

Session and Chapter.	Short Title.	Extent of Repeal.
11 & 12 Geo. 5. c. 66.	The National Health Insurance (Prolongation of Insurance) Act, 1921.	The whole Act.
14 & 15 Geo. 5. c. 38.	The National Health Insurance Act, 1924.	Subsection (4) of section twelve. The proviso to subsection (2) of section sixty-eight. Subsection (5) of section seventy-five. In subsection (3) of section one hundred and seventeen the words "or towards benefits payable to persons under the scheme prepared in pursuance of section sixty-four of this Act" and the words "and the seamen's special fund."
15 & 16 Geo. 5. c. 70.	The Widows', Orphans' and Old Age Contributory Pensions Act, 1925.	Subsection (2) of section two. Subsection (5) of section thirteen. In section thirty, paragraph (g) of subsection (1), and subsection (2).